

October 27, 2023

Adam Bitter
General Counsel, Office of the Texas Secretary of State
P.O. Box 12887
Austin, Texas 78711-2887

Dear Mr. Bitter:

On behalf of the ANA – Association of National Advertisers (“ANA”) – we provide these comments on the proposed regulation to implement Texas SB 2105, a statute that requires “data brokers,” as defined, to register with the Texas Secretary of State (“TX SOS”), provide certain information to the TX SOS, and make certain disclosures to consumers.¹ The ANA strongly supports consumer privacy and believes Texans deserve meaningful transparency in the marketplace. However, as presently drafted, the proposed regulation would: (I) enact confusing and unworkable timelines for consumer notices; (II) set forth overly prescriptive language requirements for notices that would very likely cause consumer confusion; and (III) require the provision of contact information for individuals within a data broker’s organization when such information may not remain current or useful to the TX SOS. **We therefore ask you to update the proposed regulation in line with the suggestions set forth in this letter.**

As America’s oldest and largest advertising trade association, the ANA has long supported brands, advertisers, marketing service providers, and countless other entities in their efforts to provide clear and understandable privacy notices to consumers. The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually. As discussed in more detail below, we believe Texans and businesses alike would benefit from certain updates to the proposed regulation to clarify the timing and content requirements for notices and required disclosures to the TX SOS under Texas SB 2105. We would welcome the opportunity to speak with you in more detail about the suggested updates provided in this letter.

I. Timing Requirements for Requisite Notices Should Align with Registration Deadlines

The proposed regulation would require a data broker to post a notice on its website and/or application upon the effective date of the regulation.² A data broker would be required to explicitly state it is a “data broker” under Texas law that can be found on the TX SOS’s public data broker registry website.³ At the TX SOS website, a consumer will be able to search for data broker registration information. Because the proposed regulation’s notice requirement will take effect upon the *effective date of the proposed regulation*, a data broker could potentially be required to post such a notice before the data broker’s registration has been accepted by the TX SOS and posted to the website. This result could create confusion for consumers. To avoid this likely unintended result, the timing of the notice requirement should coincide with the timing of the TX SOS’s approval of the data broker’s registration materials and posting of the data broker to the centrally managed website rather than the effective date of the regulation.

¹ 48 Tex. Reg. 5593-5596 (Sept. 29, 2023), located [here](#) (hereinafter, “Proposed Rule”); *see also* Texas HB 2105 (88th Leg., 2023), located [here](#).

² Proposed Rule at § 106.5.

³ *Id.*

II. Required Notice Language Should Be Amended to Provide Concise and Understandable Information to Consumers

The proposed regulation sets forth language a data broker must post on its website and/or mobile application noting that the entity is a data broker registered with the TX SOS.⁴ The proposed notice language spans six lines of text and approximately 60 words.⁵ The proposed notice language should be more concise while still disclosing relevant information to consumers. In particular, the notice should remove terms and phrasing that will likely be distracting and confusing. Brief and clear notices are more understandable to consumers and help avoid notice fatigue. We recommend that the notice language be updated to the following: *[Registrant name] is registered as a data broker under Texas law. Information about the registrant is available on the Secretary of State's website <<hyperlink>>.*

This proposed language includes the same content as the language in the proposed rule but achieves consumer notice in a more concise manner. Such an approach would help ensure consumers can easily read and understand the required notice.

III. Registrants Should Be Required to Provide Business Contact Information, Not the Contact Information of Individuals

The proposed regulation would require registrants to provide contact information for the individual submitting the registration statement on behalf of the data broker.⁶ Under the proposed regulation, such contact information would include the individual's legal name, phone number, primary physical address, mailing address, and email address.⁷ This requirement ignores the fact that individuals in charge of submitting registration statements for data brokers may change jobs, switch teams, or take on other responsibilities such that the individual's contact information submitted may not stay current. The TX SOS should not require a data broker to submit a correction to its registration statement each time the individual in charge of providing registration information changes. Instead, to ensure requests and inquiries from the TX SOS are routed in an expeditious manner to the right team handling data broker registration within an organization, the proposed regulation should require a data broker to submit contact information for the entity generally rather than contact information for the individual in charge of submitting registration information.

* * *

Thank you for your consideration of this letter.

Sincerely,



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⁴ *Id.*

⁵ *Id.* at Figure 1 TAC §§ 106.5(1); (2).

⁶ Proposed Rule at § 106.2(b)(1).

⁷ *Id.*